

23-2b “. . . of All . . .”

GDP tries to be comprehensive. It includes all items produced in the economy and sold legally in markets. GDP measures the market value of not just apples and oranges but also pears and grapefruit, books and movies, haircuts and healthcare, and on and on.

GDP also includes the market value of the housing services provided by the economy's stock of housing. For rental housing, this value is easy to calculate—the rent equals both the tenant's expenditure and the landlord's income. Yet many people own their homes and, therefore, do not pay rent. The government includes this owner-occupied housing in GDP by estimating its rental value. In effect, GDP is based on the assumption that the owner is renting the house to herself. The imputed rent is included both in the homeowner's expenditure and in her income, so it adds to GDP.

Some products, however, are excluded from GDP because they are hard to measure. GDP excludes most items produced and sold illicitly, such as illegal drugs. It also excludes most items that are produced and consumed at home and, therefore, never enter the marketplace. For instance, GDP includes vegetables you buy at the grocery store but not vegetables you grow in your garden.

These exclusions from GDP can at times lead to paradoxical results. For example, when Karen pays Doug to mow her lawn, that transaction is part of GDP. But suppose Doug and Karen get married. Even though Doug may continue to mow Karen's lawn, the value of the mowing is now left out of GDP because Doug's service is no longer sold in a market. Thus, their marriage reduces GDP.